



Welcome to Financial Accounting

Tuck Business Bridge Program

Professor Jody Murphy

Jody.E.Murphy@Tuck.Dartmouth.edu



Day 2 Agenda

- **Bridge 10K handout**
- **Accounting Equation – Revisited**
- **Journal Entries**
- **Accrual Accounting**
 - Journal Entries – Adjusting
- **Permanent versus Temporary Accounts**
 - Journal Entries - Closing
- **In Class Work**
- **Financial Statements**



Accounting Equation

$$\text{Assets} = \text{Liabilities} + \text{Shareholders' Equity}$$

Rule: must be in balance

Expanded Accounting Equation



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Accounting Equation continued

Expanded Accounting Equation

$$\text{Assets} = \text{Liabilities} + \text{Shareholders' Equity}$$



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Accounting Equation continued

Assets

Current Assets

Longterm Assets

Liabilities

Current Liabilities

Longterm Liabilities

Shareholders' Equity

Contributed Capital

Retained Earnings



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Accounts and Normal Balances

Assets

Liabilities

Shareholders' Equity

Revenue

Expenses

Dividends



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Journal Entries include...

(1) *Sell stock*

Cash

Common Stock

(2) *Sell bonds*

Cash

Bonds Payable

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Journal Entries include...

(3) Buy inventory for cash

Inventory

Cash

(4) Buy inventory on account

Inventory

Accounts Payable

(5) Buy a company car for cash

Car

Cash

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Journal Entries include...

(6) Pay for inventory bought on account

Accounts Payable

Cash

(7) Buy a six-month car insurance policy for company car

Prepaid Expense

Cash

(8) Pay employee salaries

Salaries Expense

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Journal Entries include...

(9) *Sell a service for cash*

Cash

Revenue

(10) *Sell a service on account*

Accounts Receivable

Revenue

(11) *Receive cash for sale of service on account*

Cash

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Journal Entries include...

(12) *Receive cash in advance of providing service*

Cash

Unearned Revenue

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Journal Entries include...

(13) Declare Dividends

Dividends

Dividends Payable

(14) Pay Dividends

Dividends Payable

Cash

(15) Repurchase Shares

Treasury Stock

Cash

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Journal Entries include...

(5) Buy a company car for cash

Car

Cash

What if the company bought a company car with a loan but also made a downpayment?

Draft out the journal entry.

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



Tuck

Journal Entries include...

(5) Buy a company car for cash

Car

Cash

Buy a company car with a loan and a
downpayment

Car

Cash

Notes Payable

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Journal Entries include...

(7) Buy a six-month car insurance policy for company car

Prepaid Expense

Cash

What if the company “just” paid the current month of the car insurance policy for the company car?

Draft out the journal entry.

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Journal Entries include...

(7) Buy a six-month car insurance policy for company car

Prepaid Expense

Cash

Pay for current month of car insurance for company car

Insurance Expense

Cash

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Journal Entries include...

(8) *Sell a service for cash*

Cash

Revenue

What if the company sold a product instead of a service?

Draft out the journal entry.

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Journal Entries include...

(8) *Sell a service for cash*

Cash

Revenue

Sell a product for cash

Cash

Cost of Goods Sold (COGS)

Revenue

Inventory

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

T-accounts can be a helpful tool



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Accounts

Assets

Liabilities

Shareholders' Equity

Revenue

Expense



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Accrual Accounting

When to recognize revenue? Recognize when it happens [earns]

When to recognize expenses? Recognize expenses when it happens [increases]

Cash is irrelevant.



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Adjusting Journal Entries include...

(1) Unearned Revenue

Unearned Revenue

Sales Revenue

(2) Accrued Revenue

Accounts Receivable

Sales Revenue

(3) Accrued Expense

Salaries Expense

Salaries Payable

(4) Prepaid Expense

Insurance Expense

Prepaid Insurance

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

Rule # 2

Never cash

Rule # 3

Always BS and IS account

(5) Depreciation Expense

Depreciation Expense
Accumulated Depreciation

Book value
VS.
Market value



Permanent Versus Temporary Accounts

Permanent

Assets

Liabilities

Shareholders' Equity

Temporary

Revenue

Expenses

Dividends



Closing Journal Entries include...

(1) Close out Revenues

Sales Revenue

Service Revenue

Retained Earnings

(2) Close out Expenses

Retained Earnings

Salaries Expense

Telephone Expense

Advertising Expense

(3) Close out Dividends, if any

Retained Earnings

Dividends

Rule # 1

Double Entry Accounting

Debits Must Equal Credits

Rule # 2

Revenues have a normal credit balance – so to close them out – they should be debited.

Rule # 3

Expenses and Dividends have a normal debit balance – so to close them out – they should be credited.



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In Class Work - Accounts

Assets

Liabilities

Shareholders' Equity

Revenue

Expense

Dividends



Balance Sheet Classified – Broad Categories



Balance Sheet Classified – Broad Categories

Assets

Current Assets

Long-Term Investments

Property, Plant & Equipment

Intangible Assets

Total Assets



Balance Sheet

Classified – Broad Categories

Liabilities

Current Liabilities

Long-Term Liabilities

Equity

Common Stock

Retained Earnings

Total Liabilities and Equity



Accounting Equation

$$\text{Assets} = \text{Liabilities} + \text{Shareholders' Equity}$$

Rule: must be in balance

Balance Sheet and Accounting Equation



Income Statement Multiple Step



Income Statement Multiple Step

Sales Revenue

Less Cost of Goods Sold

Gross Profit

Less Selling, General, and Administrative Expenses

Less Depreciation and Amortization Expenses

Operating Income

Less Interest Expense

Pretax Income

Less Tax

Net Income (Net Loss)



Financial Statement Articulation

How Financial Statements Connect



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Statement of Retained Earnings

Beginning Retained Earnings

Add Net Income

Less Dividends, if any

Ending Retained Earnings



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Homework

- **Review all of the Journal Entries in this PowerPoint.**
- **Please work with classmates. Talk about the transactions.**
 - **Note the name of the account**
 - **Note the type of account (A, L, SE, R, E)**
 - **Note each debits and credit – as well as applicable normal balance**
- **Building on Bridge 10K handout, complete Bridge 10K Part 2 handout**